Open Shop business plan

A social-first, curated marketplace connecting Rwanda's independent shops with customers through a storefront, product content and assisted selling.

EXECUTIVE SUMMARY

YEAR-ONE GMV TARGET

RWF 248m

Base-case sales value processed

PLATFORM REVENUE

RWF 29.4m

10% commission + RWF 4.6m ads

INITIAL FUNDING TARGET

RWF 38-42m

Operating gap, setup and cash buffer

The business

Open Shop helps local sellers present products professionally, reach customers on social channels and convert interest into trackable orders. Sellers keep ownership of stock and fulfill orders under agreed service standards. Open Shop earns from completed transactions and paid advertising.

- Customers: Kigali-first shoppers, then other districts; people seeking useful goods, local makers, home products, fashion, groceries and services.
- Supply: independent shops, makers and service providers with reliable contact details, product availability and willingness to fulfill orders.
- Positioning: a local discovery and sales partner that combines a browsable shop directory with regular, human-made product content.
- Promise: clear prices, verified seller information, responsive support, transparent delivery and returns terms, with sponsored placements clearly labeled.

How Open Shop earns

The proposed model keeps joining free during the first year, then charges a commission only when an order is completed. Optional monthly ad placements give sellers and brands predictable campaign costs.

REVENUE STREAM	PROPOSED RULE
Sales commission	10% of completed item subtotal; excludes delivery and taxes.
Display ads	Monthly fixed rates for homepage, product-grid and product-detail cards.
Content services	Optional shoots or sponsored social videos priced and approved in writing.

Important launch readiness

The current storefront is a prototype: its README says checkout is a demo and browser data is local. Before taking real orders, build server-side orders, authentication, inventory, payment and settlement, delivery tracking, refunds, privacy controls and backups.

Seller program and sales channels

Make seller onboarding low-friction while setting clear standards for product accuracy, service and customer protection.

SUPPLY AND CUSTOMER ACQUISITION

Who can join the store list

Open Shop can waive a listing fee during year one. Accept sellers after identity, products and fulfillment capability are checked. Use the documents below as the marketplace's proposed onboarding standard; confirm exact requirements with a Rwanda accountant or lawyer.

- Identity and contact: owner or authorized representative ID, active phone number, email, store location and customer-service contact.
- Business and payout: registration certificate and TIN where applicable; verified bank or mobile-money payout details; signed seller agreement.
- Catalog: at least five launch-ready items (or a complete service/property listing), accurate title, price, stock, variations, photos, warranty and delivery area.
- Quality: seller confirms authenticity and right to sell; no counterfeit, unsafe or prohibited items; regulated categories supply required permits and evidence.
- Operations: answer order requests within one business day, keep availability current, package safely, meet the promised dispatch time and honor written return/warranty rules.
- Performance: review late dispatch, cancellations, complaints and returns monthly; pause listings that repeatedly miss standards.

Product photography and content

Open Shop will photograph products when both Open Shop and the seller agree. Prioritize a small number of launch sellers and their best-selling SKUs. Confirm shoot date, item custody, any fee, retouching, and image-use permission in writing. Sellers not selected for a shoot provide clear, original photos that meet listing standards.

Sales channels

The website is the product catalog and destination for trackable orders. Social accounts create demand and answer questions; every post should link back to a listing or WhatsApp support.

CHANNEL	WEEKLY ACTION	ROLE IN SALES
WhatsApp	Business profile, opt-in product updates, quick support replies.	Answer questions, share catalog links and recover interested shoppers.
TikTok	3-5 short videos; one product demo LIVE each week as capacity allows.	Reach new buyers through demonstrations, comparisons and seller stories.
Instagram	3-4 Reels weekly; Stories most days; seller/product highlights.	Show product details, build trust and move customers to checkout or chat.

> **Content and trust**
>
> Get permission before featuring people, shops or customer images. Mark paid promotions clearly. TikTok requires commercial-content disclosure for posts promoting a brand, product or service; WhatsApp commerce and messaging rules also apply.

Monthly advertising rate card

Opening rates are proposed test prices in Rwandan francs, not verified media-market benchmarks. Review them after 90 days using sales, inquiries and campaign renewal data.

COMMERCIAL OFFER

PLACEMENT	WHAT BUYER GETS	PRICE / MONTH	CREATIVE GUIDE
Homepage top banner	One top banner campaign	RWF 150,000	1440 x 180 px
Homepage side rail	One sticky left-side campaign	RWF 90,000	160 x 600 px
Homepage side rail	One sticky right-side campaign	RWF 90,000	160 x 600 px
Product-grid ad card	Rotating card in shop product rows	RWF 60,000	600 x 750 px
Product-detail ad card	Rotating card on product detail pages	RWF 50,000	1200 x 400 px

FULL PLACEMENT BUNDLE

RWF 350,000 / month

All five positions; list price RWF 440,000

LAUNCH OFFER

25% off

First three months for founding advertisers

Campaign terms

Use clear written terms so a buyer knows exactly what is included.

- One month, prepaid; campaign starts after payment and creative approval. Bundle discounts apply to the listed monthly price.
- Price buys placement for the month, not guaranteed impressions, clicks or sales. Report dates, creative, views/clicks if measurable, and attributed inquiries/orders.
- Label every placement SPONSORED. No category exclusivity unless separately agreed. The advertiser warrants accurate claims and rights to its images/logos.
- Sponsored social add-ons (test prices): short video RWF 75,000; 30-minute hosted LIVE feature RWF 120,000. Media spend, travel and creator fees are separate.
- Pause or reject unsafe, illegal, misleading or policy-prohibited advertising. Refund unused prepaid days only under the written cancellation policy.

Pricing review

Do not promise audience size before analytics exist. During the first 90 days, log qualified leads and sales by placement, then adjust rates and bundles to match observed value.

Base-case monthly income

This is a planning forecast, not a guarantee. GMV is the value of completed customer orders; Open Shop revenue is the commission plus advertising income. Values below are RWF millions.

YEAR-ONE FORECAST

MONTH	GMV	10% TAKE	ADS	REVENUE
M1	3.0	0.30	0.00	0.30
M2	5.0	0.50	0.05	0.55
M3	8.0	0.80	0.10	0.90
M4	12.0	1.20	0.15	1.35
M5	15.0	1.50	0.20	1.70
M6	18.0	1.80	0.30	2.10
M7	21.0	2.10	0.35	2.45
M8	24.0	2.40	0.45	2.85
M9	27.0	2.70	0.55	3.25
M10	32.0	3.20	0.65	3.85
M11	38.0	3.80	0.80	4.60
M12	45.0	4.50	1.00	5.50
YEAR	248.0	24.80	4.60	29.40

What must be true

Targets need sellers, traffic and operational execution. Track these weekly rather than treating the totals as automatic.

- Onboard 60-80 active sellers by month 12; an active seller has live stock and answers order requests.
- At RWF 50,000 average order value, RWF 248m GMV implies about 4,960 completed orders over the year, averaging 413 per month.
- Reach RWF 45m monthly GMV by month 12 (about 900 orders at the assumed average order value).
- Grow ad revenue from zero to RWF 1m/month by month 12; sell renewals only after reporting measurable campaign results.

Commission definition

Proposed 10% fee applies to completed product/service subtotal after discounts, excluding delivery and tax. Cancelled/refunded orders earn no commission. Agree separately on property and other high-value referrals.

Budget, scenarios and runway

The forecast points to an investment year. Keep costs lean, confirm supplier quotes and review the model monthly against actual conversion and repeat-purchase data.

UNIT ECONOMICS

ANNUAL COST	BUDGET (RWF)	ANNUAL COST	BUDGET (RWF)
Core team / contractors	39,000,000	Marketing + data	6,000,000
Seller travel / visits	4,200,000	Hosting + software	3,000,000
Bookkeeping / legal	2,400,000	Photo props / storage	1,800,000
Payments/returns reserve (2% GMV)	4,960,000	One-time launch setup	6,000,000

Recurring operating cost: RWF 61.36m including transaction reserve. Setup is separate.

SCENARIO	GMV	PLATFORM REVENUE	OPERATING COST	OPERATING RESULT
Conservative	RWF 150m	RWF 18.0m	RWF 59.4m	-RWF 41.4m
Base	RWF 248m	RWF 29.4m	RWF 61.36m	-RWF 31.96m
Stretch	RWF 450m	RWF 54.0m	RWF 65.4m	-RWF 11.4m

Runway and break-even

Base-case recurring operating deficit is about RWF 32m before one-time setup, tax, financing and owner distributions. Allow roughly RWF 38-42m of launch capital including RWF 6m setup and a modest cash buffer. This is a planning target, not a funding quote.

With RWF 4.6m annual ad income and an 8% contribution margin after a 2% transaction reserve, simple operating break-even is about RWF 648m annual GMV. This assumes the full ad target is achieved and excludes taxes, debt service and unexpected losses.

Financial controls

Reconcile each order, seller payout, commission, refund and ad payment. Keep business and personal funds separate. Have an accountant confirm the platform's tax treatment and the seller's own obligations before launch.

Team, milestones and risks

Build only the minimum team needed to supply, publish and serve orders reliably. Add roles after evidence of demand, not ahead of it.

PEOPLE AND LAUNCH CONTROLS

ROLE	CORE RESPONSIBILITY	BUDGET / MONTH
Founder / general manager	Partnerships, cash, priorities and key accounts	RWF 800,000
Seller growth and operations	Onboard shops, catalog quality, order follow-up	RWF 650,000
Social content producer	Content calendar, short video, community replies	RWF 650,000
Customer support / order coordinator	Customer questions, exceptions, delivery updates	RWF 450,000
Photographer / video contractor	Agreed shoots, editing and product assets	RWF 400,000
Technical maintenance contractor	Production hosting, fixes, security and analytics	RWF 300,000

First-year milestones

M1-M2: production checkout, payment and seller contracts. M3-M4: 20 active sellers, 5-10 weekly posts, first local fulfillment workflow. M5-M8: 40-60 active sellers, test ad packages, measure repeat purchases. M9-M12: target 60-80 active sellers, 900 monthly orders and RWF 1m monthly advertising sales.

Items to put in place before launch

- Production system: server-backed accounts, catalog, orders and inventory; tested payment provider, seller payout reconciliation and transaction records.
- Customer terms: privacy notice, delivery fees/times, cancellations, refunds/returns, warranty responsibility, complaints route and seller contract.
- Trust and safety: identity checks, restricted-products list, image/content permissions, ad labeling, fraud response, account access and data backups.
- Fulfillment: define who packs, dispatches and handles failed delivery; agree service levels by district; show delivery cost before payment.
- Tax and compliance: register the Open Shop business and obtain tax advice. RRA currently states VAT registration is required above RWF 20m turnover over 12 months or RWF 5m over three consecutive months; applicability and the turnover base must be confirmed with an accountant. [1]

Sources and assumptions

Official information supporting compliance notes, and the planning assumptions used for the first-year forecast.

REFERENCES

Official sources

[1] Rwanda Revenue Authority - VAT registration and filing obligations. www.rra.gov.rw/en/domestic-tax-services/value-added-tax/default-title-1 [2] Rwanda Development Board / Office of the Registrar General - business registration. org.rdb.rw/business-registration/ [3] WhatsApp Business - messaging and commerce policy. business.whatsapp.com/policy [4] TikTok - commercial content disclosure instructions, updated January 2026. ads.tiktok.com/resources/help/article/how-to-turn-on-the-commercial-content-disclosure-setting-in-tiktok

Forecast assumptions

- Launch in Kigali first; no existing audience or sales history is assumed. GMV grows from RWF 3m in month 1 to RWF 45m in month 12.
- Average order value: RWF 50,000. Base case: about 4,960 completed orders in year one, rising to about 900 per month in month 12.
- Open Shop earns a 10% take rate on completed sales and the advertising revenue listed in the monthly table. No seller subscription revenue is assumed.
- A 2% of GMV reserve is used for payment costs, returns and order exceptions. Actual payment-provider and carrier charges must replace this estimate.
- Core team and fixed operating costs are budget placeholders. Confirm actual local salary, contractor, marketing, hosting, legal and transport quotes before committing.
- Forecast excludes VAT collected/remitted, income tax, financing costs, owner distributions and any

Decision use

Treat these figures as a starting plan for seller and advertiser interviews. Reforecast monthly; protect working capital and delay hiring or paid campaigns if sales, repeat orders or seller service levels miss target.